Financial summary FY2023 to FY2025

Merrow Flow Controls Ltd. Financial years end on 31 March. Figures in GBP thousands. FY2023 and FY2024 are audited; FY2025 is audited, signed on 18 July 2025. Adjustments are management estimates reviewed by the advisor.

Income statement

GBP k	FY2023	FY2024	FY2025	CAGR
Revenue	38,240	41,610	45,930	9.6%
Cost of sales	(25,120)	(27,050)	(29,410)	
Gross profit	**13,120**	**14,560**	**16,520**	**12.2%**
Gross margin	34.3%	35.0%	36.0%	
Overheads	(7,410)	(7,980)	(8,620)	
Reported EBITDA	5,710	6,580	7,900	17.6%
Owner salaries above market	320	330	340	
One-off ERP implementation	-	410	160	
Adjusted EBITDA	**6,030**	**7,320**	**8,400**	**18.0%**
Adjusted EBITDA margin	15.8%	17.6%	18.3%	
Depreciation and amortisation	(1,240)	(1,310)	(1,420)	
Operating profit	4,470	5,270	6,480	

Revenue by segment

GBP k	FY2023	FY2024	FY2025	CAGR
Control valves	19,880	20,640	21,730	4.5%
Actuation	6,410	7,350	8,610	15.9%
Aftermarket	11,950	13,620	15,590	14.2%
Total	**38,240**	**41,610**	**45,930**	**9.6%**

Balance sheet and cash

GBP k at 31 March	FY2023	FY2024	FY2025	
Trade receivables	7,820	8,410	9,050	
Inventory	6,140	6,980	7,320	
Trade payables	(4,910)	(5,230)	(5,610)	
Trade working capital	**9,050**	**10,160**	**10,760**	
Working capital as % of revenue	23.7%	24.4%	23.4%	
Capital expenditure	(1,180)	(2,640)	(1,560)	
Cash	2,310	1,870	3,940	
Bank loan	(6,000)	(5,000)	(4,000)	
Net debt	**(3,690)**	**(3,130)**	**(60)**	

Notes

- FY2024 capital expenditure includes GBP 1.3m for the second CNC machining cell, commissioned in February 2024.
- The bank loan is repayable at GBP 1.0m a year and has a change of control clause: it is expected to be repaid at completion.
- Owner salaries above market: the two founders are paid GBP 170k each above the market rate for their roles.
- ERP implementation costs were expensed as incurred and are not expected to recur.
- Order book at 30 September 2026: GBP 19.2m, of which GBP 12.7m deliverable within 12 months.

Current trading

Revenue for the six months to 30 September 2026 was GBP 24.1m (prior year GBP 22.0m), with adjusted EBITDA of GBP 4.5m. Management expects FY2026 revenue of GBP 49.0m and adjusted EBITDA of GBP 9.2m.